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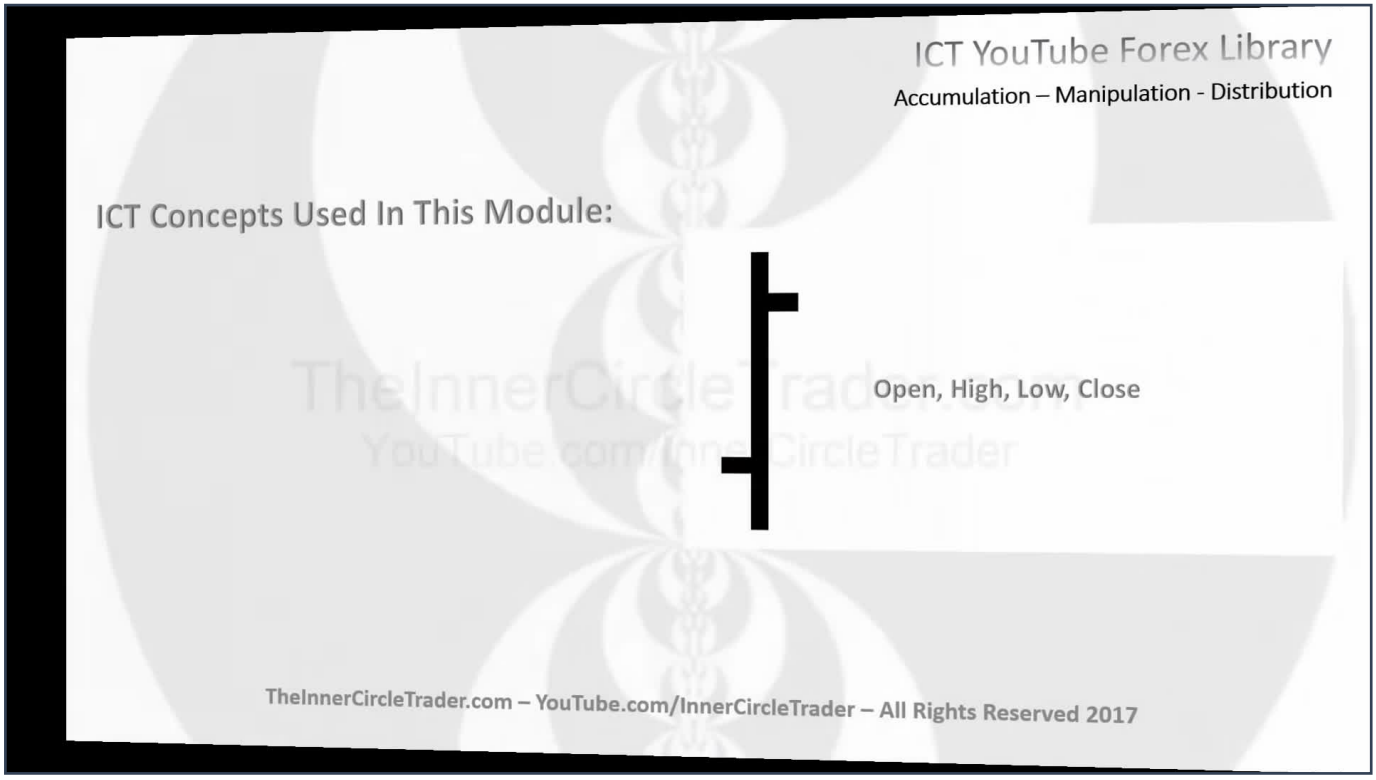
This teaching is going to be specifically dealing with accumulation, manipulation, and distribution in Forex markets using ICT concepts.



The ICT concepts used in this module include:

- The ICT Power of Three importance

- Developing anticipatory price skills

- Engineering liquidity in the market

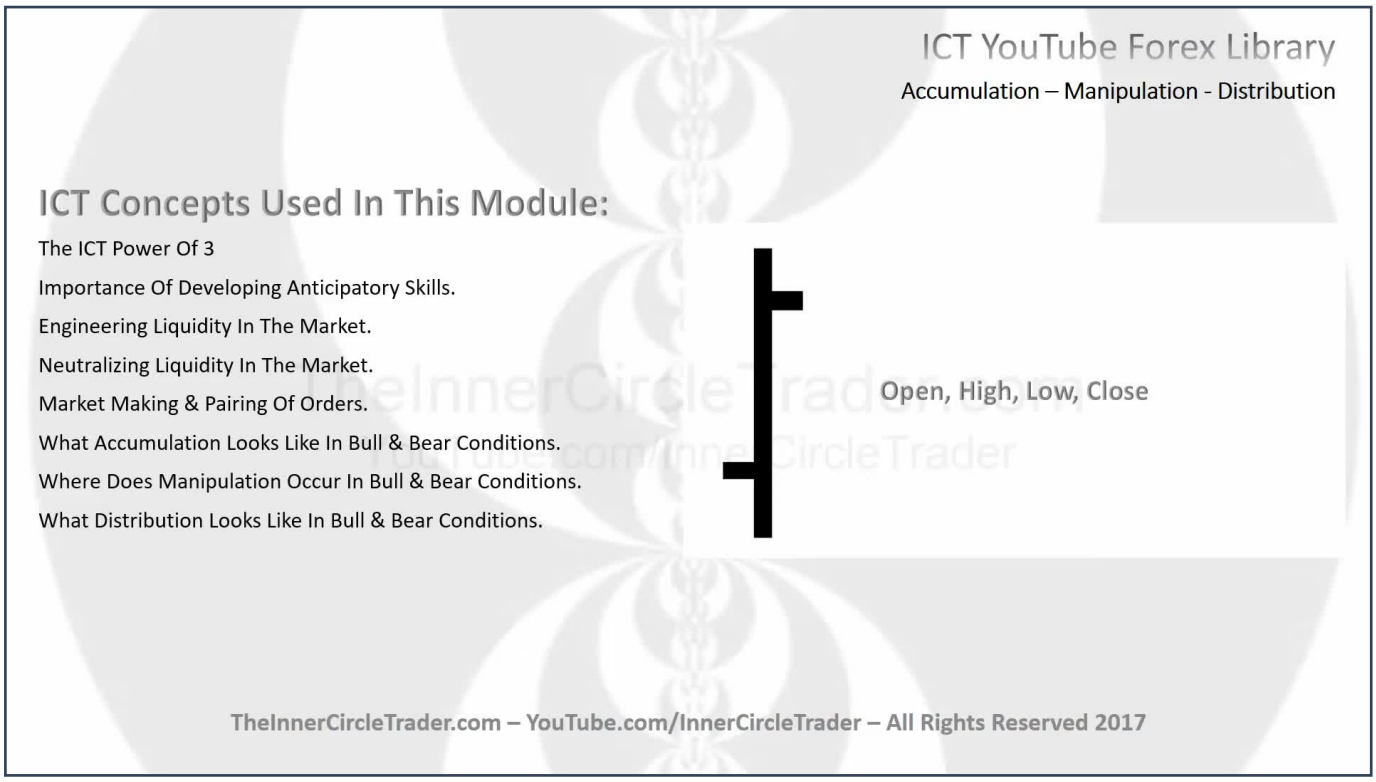
- Neutralizing liquidity in the market

- Market making and pairing of orders

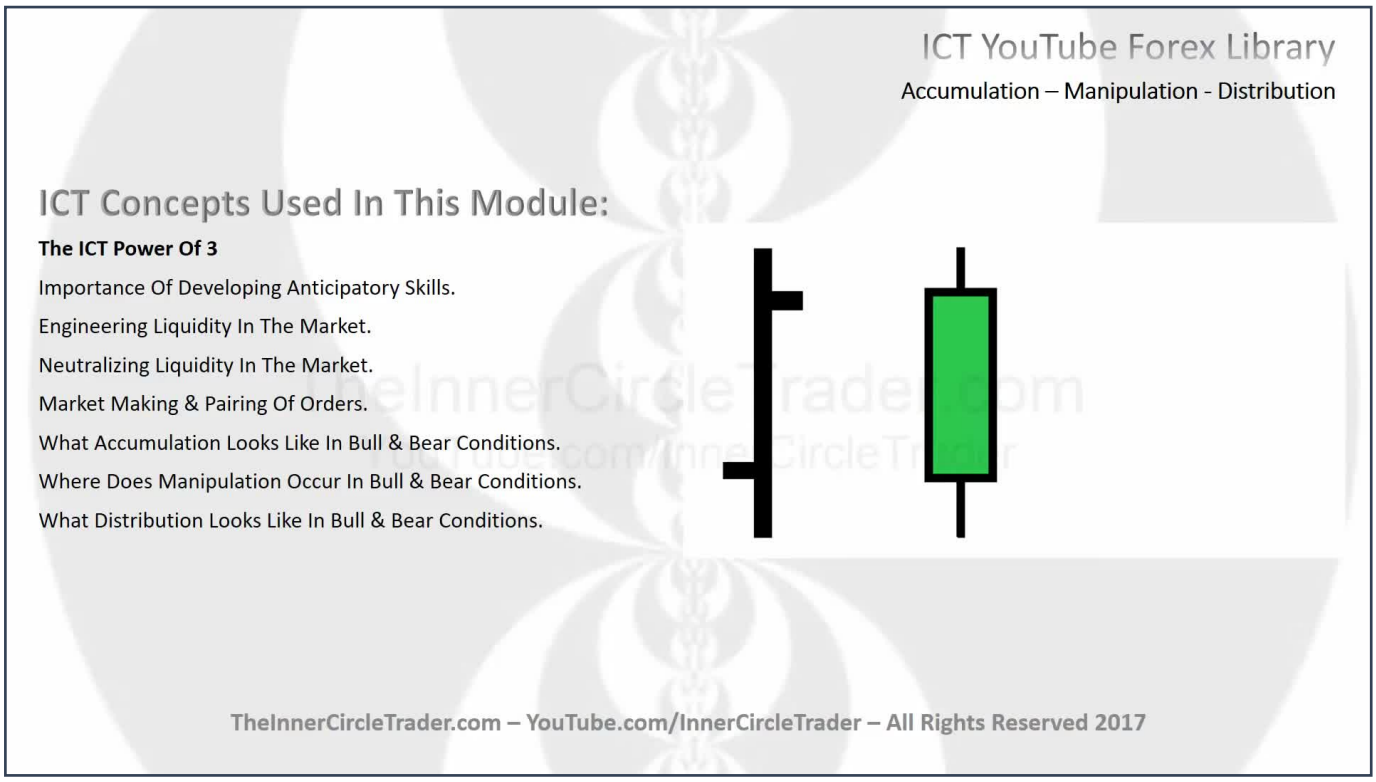
- What accumulation looks like in bull and bear conditions

- Where does manipulation occur in bull and bear conditions

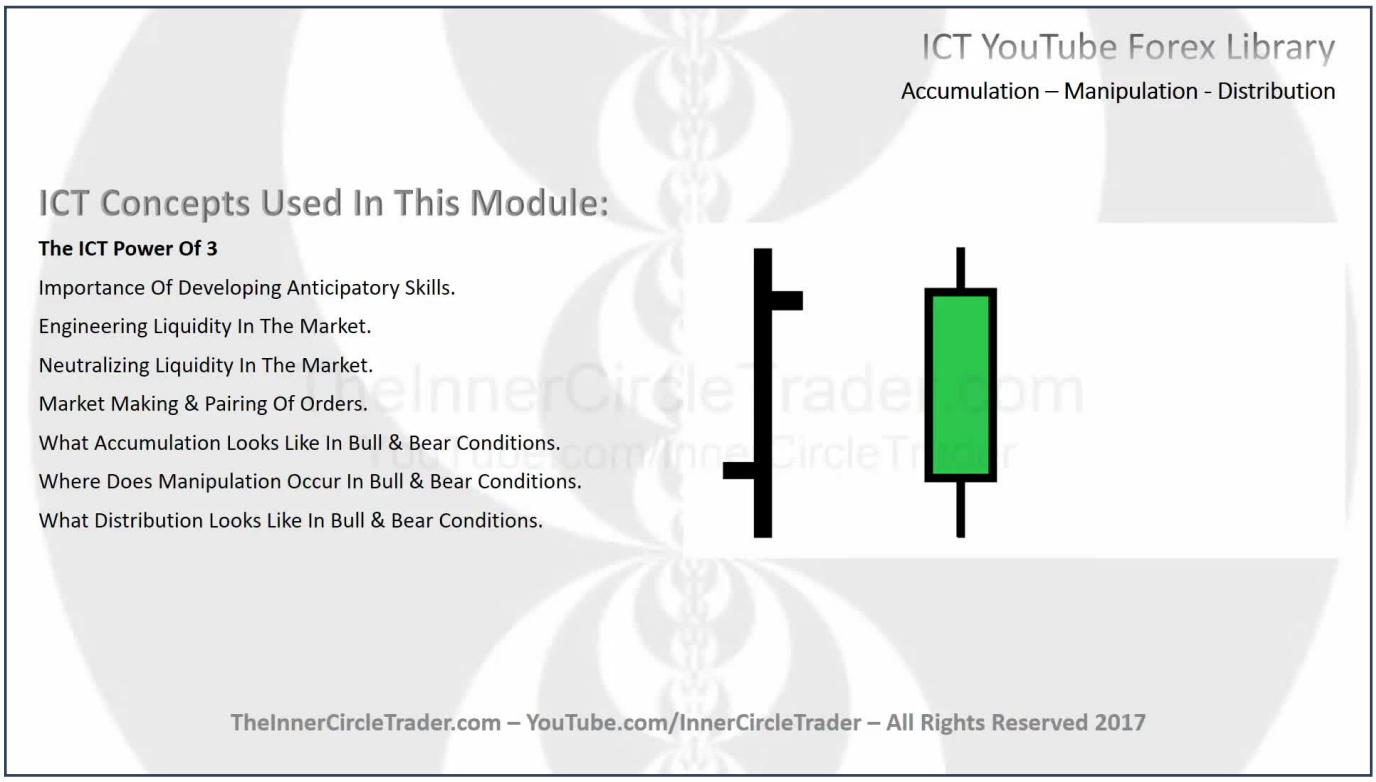
- What distribution looks like in bull and bear conditions



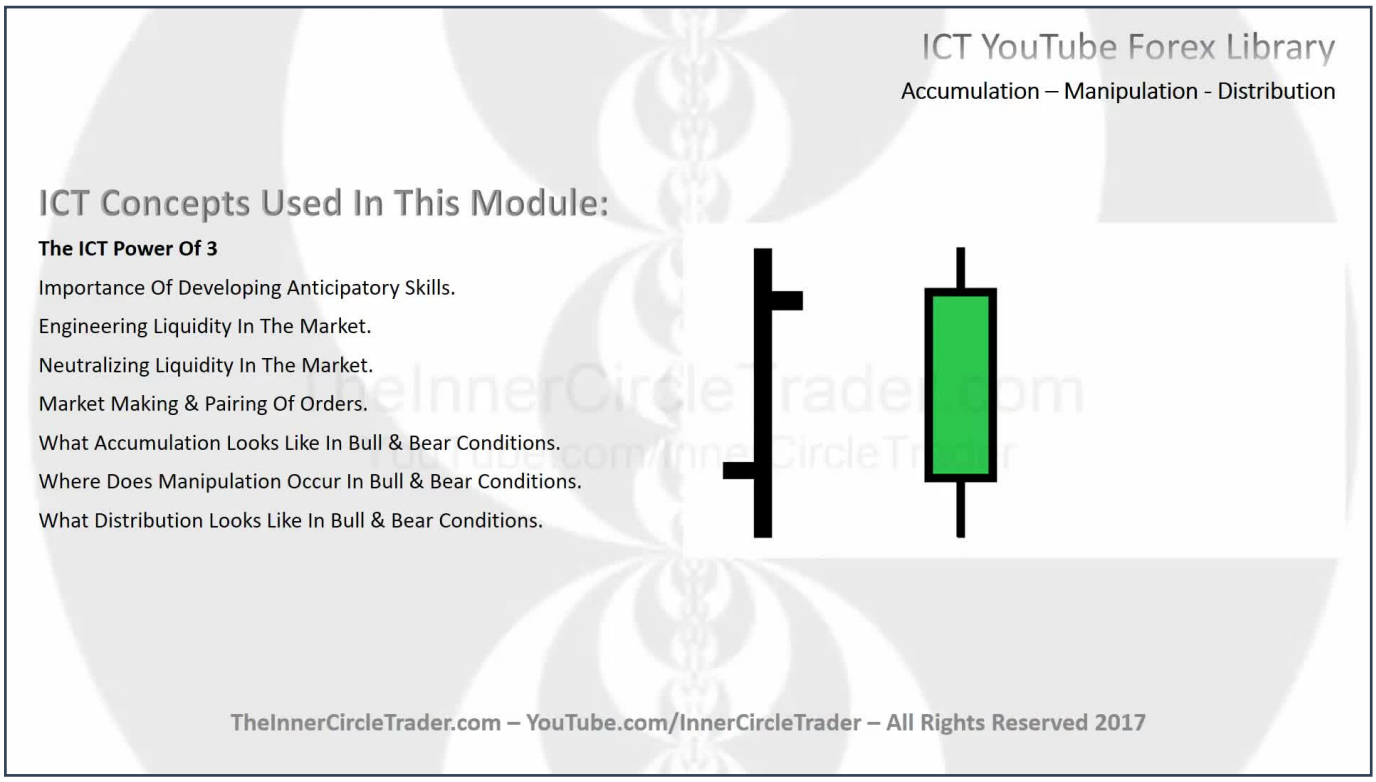
We are looking at a crude depiction of an Open High Low Close (OHLC) bar. For the purposes of this teaching, every individual bar or candle is going to be referred to as a daily range or daily bar. Everything I'm going to suggest to you here is applicable to every time measurement, every time interval. If it can be charted, this same phenomenon or concept can be applied to it. Regardless of what timeframe you can pull up and form it into a chart, as long as you have a beginning time, the highest value to the lowest value, and an ending in terms of measuring time, this concept is applicable.



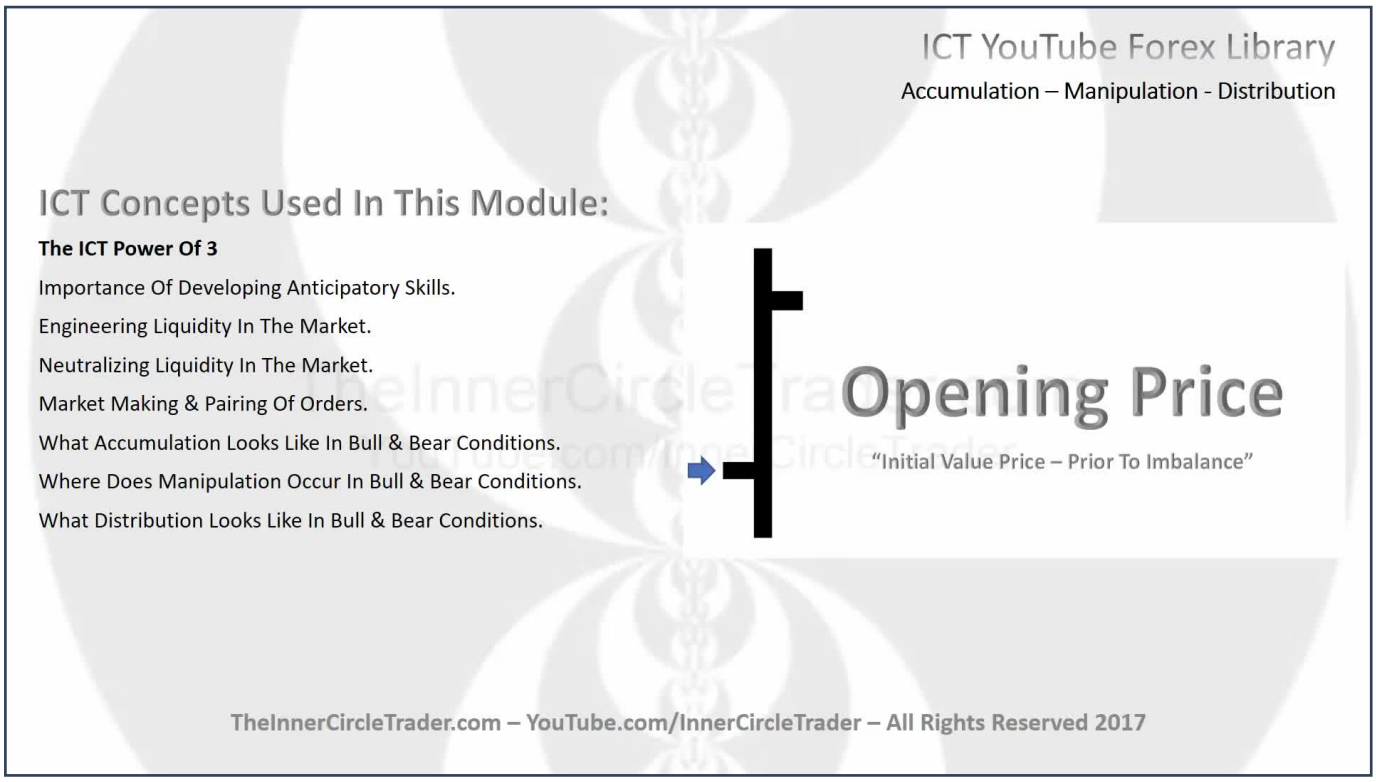
For the sake of our discussion here, and for something you can practice and look for a few times a week, the ICT Power of Three is basically a concept of looking for accumulation, waiting for manipulation, and then looking for a period of distribution.



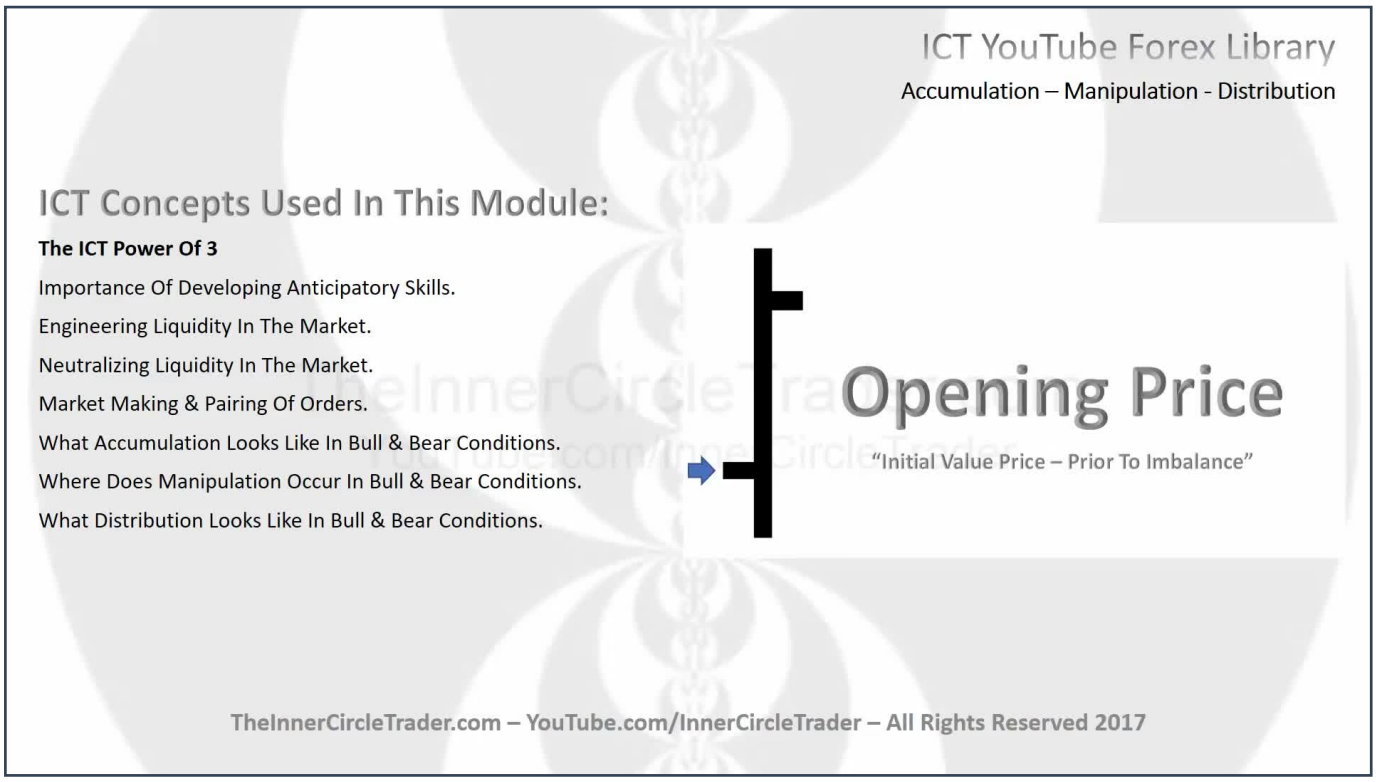
I look at candlesticks because it helps to be able to see after many years of looking at price action. It's very hard on your eyes. As long as I've been doing it, staring at, spending lots of time in charts both on a screen and on paper, I can see that my eyesight has diminished over the years. One of the benefits of knowing what you're looking for is spending far less time in the charts than most traders that like me and before me, we spent a lot of time researching and looking at things. So I gravitate towards candlesticks because it's easier on the eye, not that there's any magic behind it, but the same concept is seen here with a bullish open high low close bar. To the left is comparable to what you would see in any bullish close candlestick, much much easier to see by staring at that versus that little tick to the left or the little tick to the right that distinguishes the open and close on individual candles or bar.



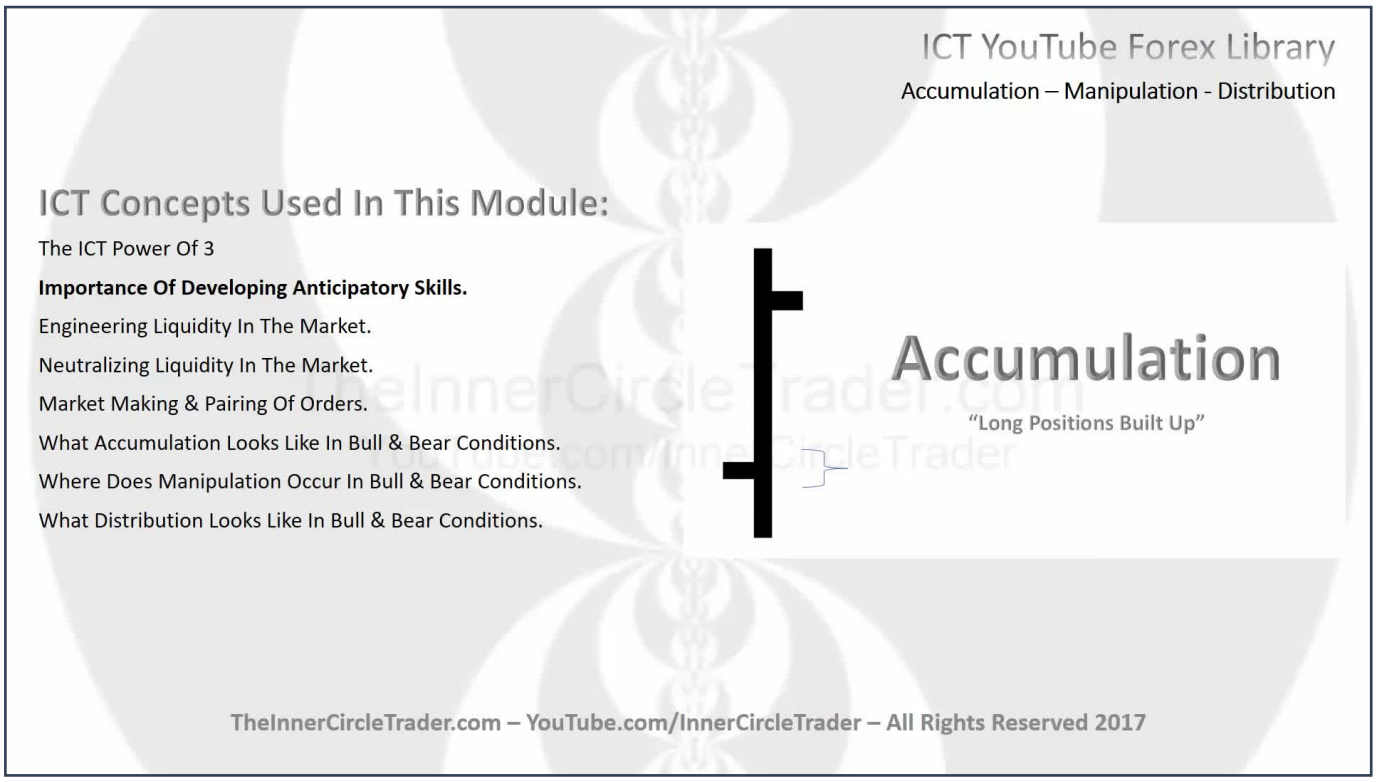
Back to our discussion using the Open High Low Close bar, it's going to be a lot easier for me to describe the phenomenon that makes up my ICT Power of Three. The origination behind this idea was inspired by my mentor, Larry Williams. He made a point in one of his lectures that he ended up repeating several times for a number of years, but he made a point of making a remark about he wished he knew how the traders, or who the traders were, that could be buying below the open or selling above the close on bullish or up close days. And I took that as a personal challenge and I spent the first quarter of my 25 years mastering just that concept because I felt that it was enough for me to work towards cracking that code if you will, and I think I've done it. I've taught other people so I know that it's something that is real, it's tangible, it can be repeated not only in my own results but other people that have learned from me.



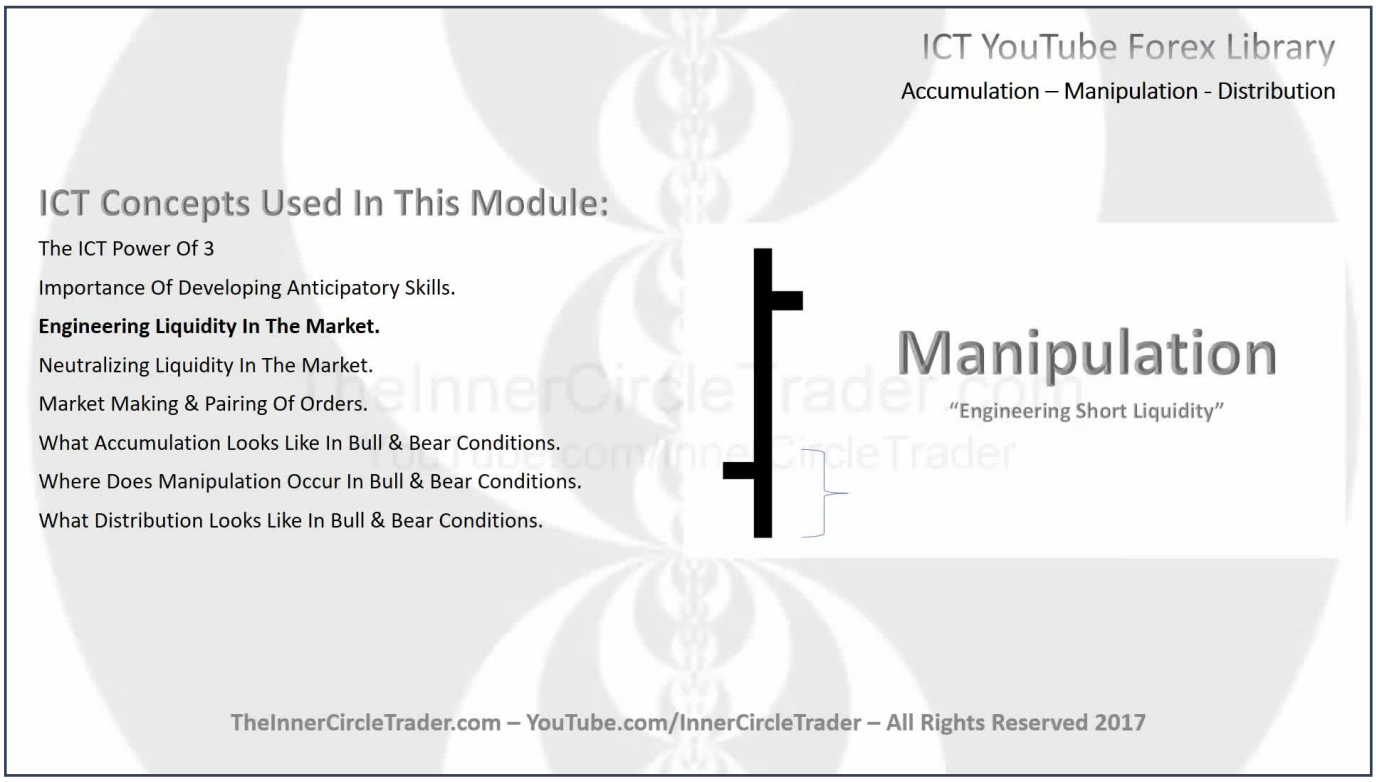
It all hinges on the reference point that starts our time interval. Again, we're referring to every bar or Open High Low Close bar depiction in my diagrams as a representation of one daily bar. So a full 24-hour period, it does not matter that if it's Forex or commodities or bonds or whatever it is, if it's a market and it can be measured in time intervals, the highest value, the lowest value, a time at which it starts trading and it time and ends trading, you only need these four reference points: the Open, High, Low, and Close is all we're concerning ourselves with here.



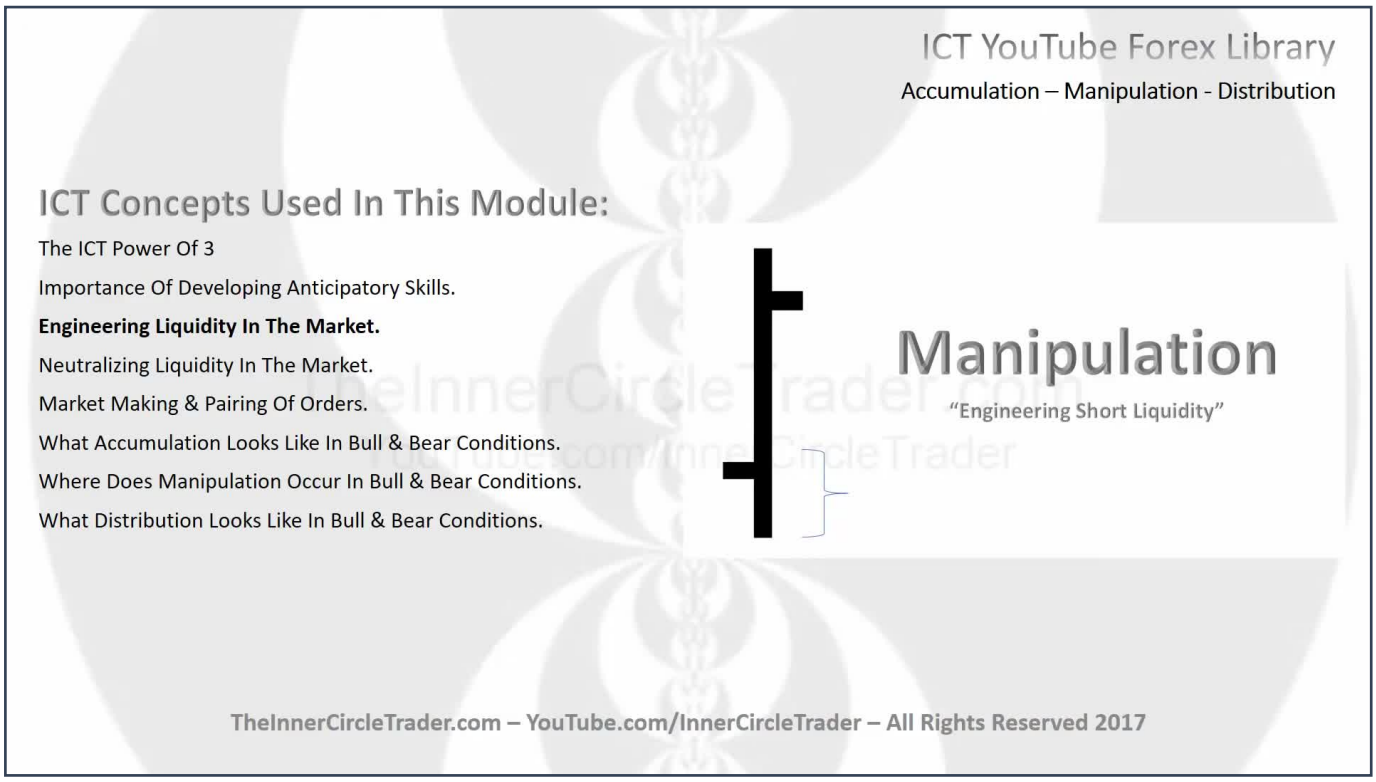
The first of the four is the opening price. For definition terms, this is the initial value price prior to any imbalance, and I'll talk more about that as we go. The closing price is the ending value price post price imbalance. The portion it makes up the range between the open and close is referred to as range expansion, and this is a dynamic price imbalance. Now this can be a bullish or bearish imbalance relative to the open, but for example's sake, our first one is going to be referring to a bullish up close. So this would be a bullish range expansion or a dynamic price imbalance of a lot more movement to the upside seeking a higher price above the initial value price of the opening price. In layman's terms, we're looking for a bullish close.



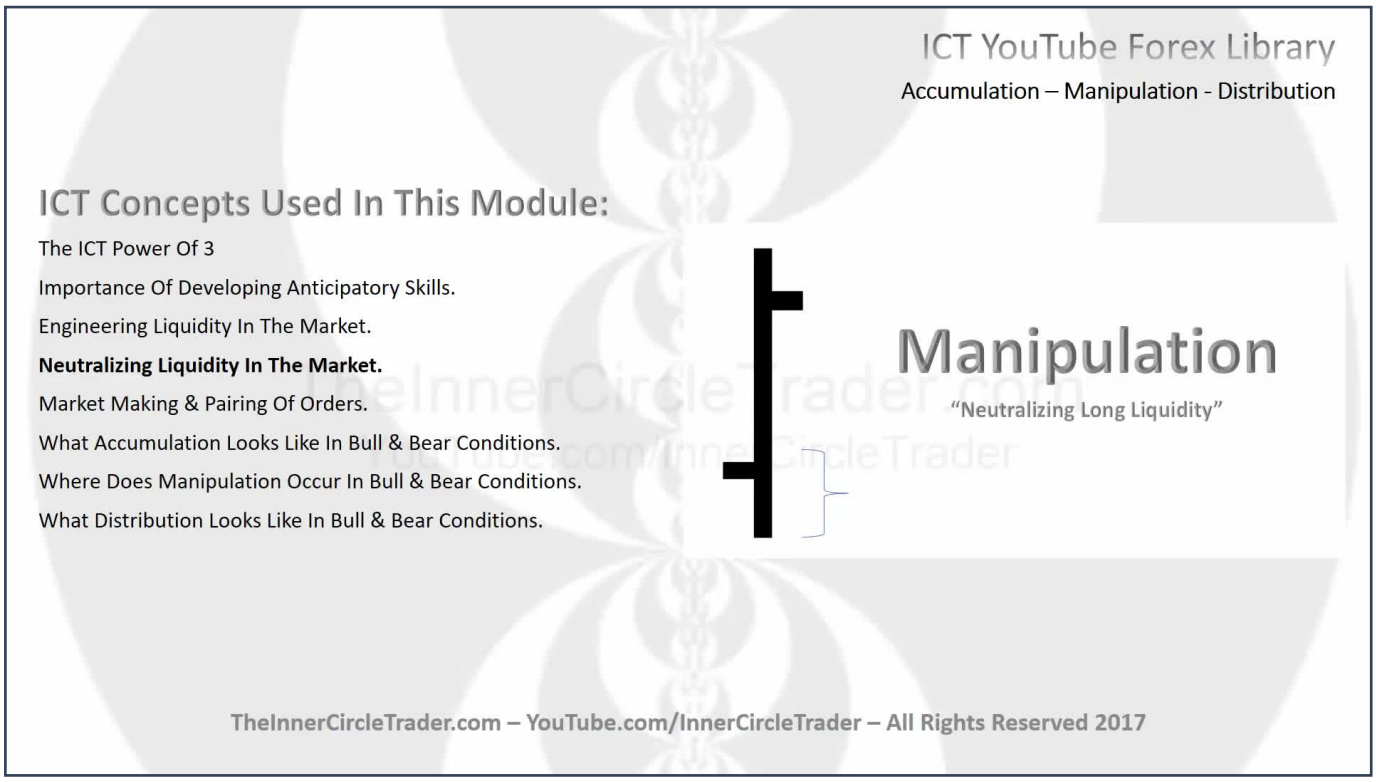
As far as it goes in terms of accumulation, manipulation, and distribution or Power of Three, the first thing we have to determine is what is accumulating. Now, if we're bullish on the marketplace, we would be looking for accumulation in the form of long positions building up. It's going to be around that opening price, and I'll talk more about the opening pricing in future tutorials, but the opening price just above it or below it when we're bullish, that's where longs are accumulated. Who's accumulating these long positions? Smart money.



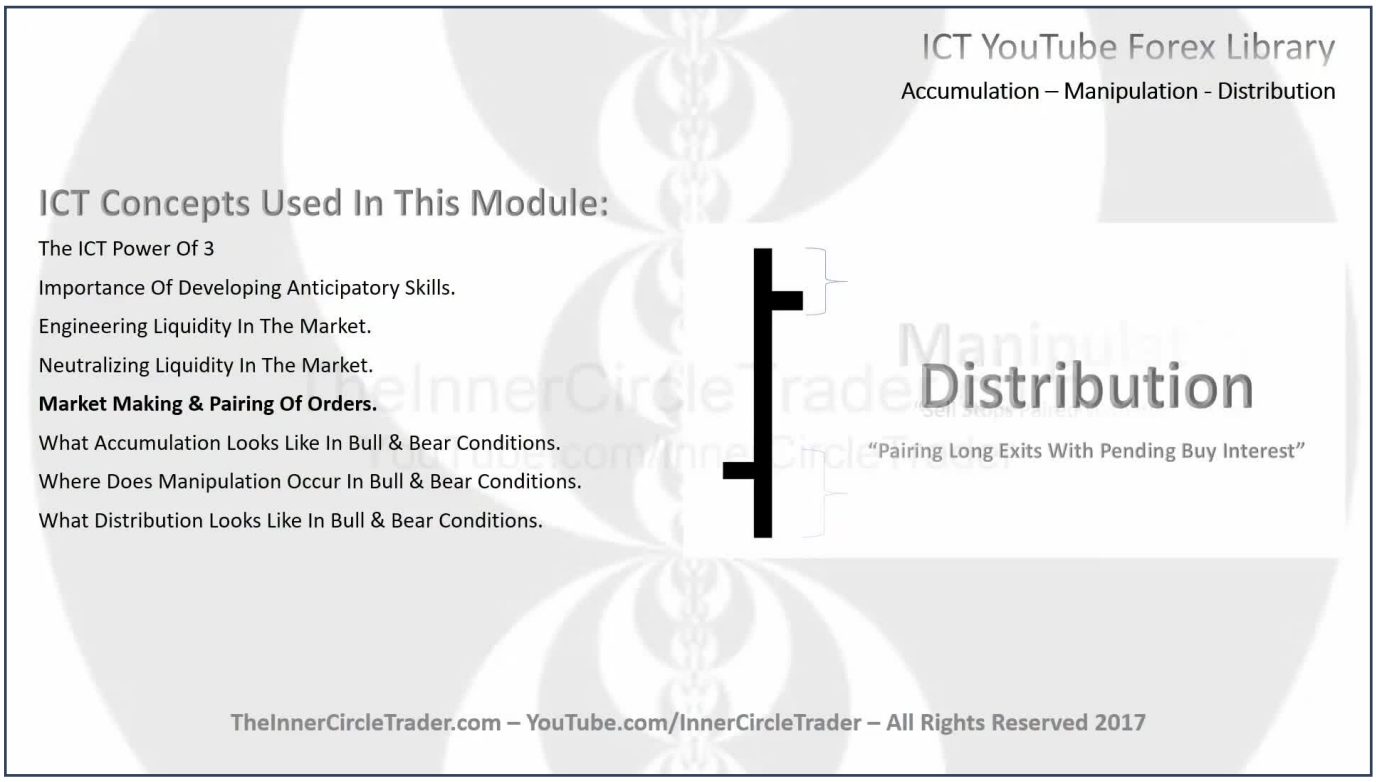
When we're bullish and we're anticipating a bullish range expansion to the upside, or a higher close, we would be hunting a manipulation cycle immediately after the opening price. So on a daily range, that opening price, if we're bullish, we want to be buying at that opening price or below it, ideally. Why would we want to be buying below the opening price if we're bullish? Because the market makers are going to be looking to engineer short liquidity. What does that mean? If a market breaks quickly below an old low, there are traders that look to be a breakout entry, so they'll look to sell short on a stop. This engineering forces liquidity in the marketplace to sell at a very very low price. That run below an old low or a quick sudden movement will entice traders that are on the sidelines just watching price, and you know what that feels like. If you watch the lower timeframe charts, any sudden moves, your heart starts to have palpitations, you get excited, you think it's gonna keep going lower. What happens? You take the bait, you go in there and you sell short, and the market stops on a dime, reverses, and goes north immediately.



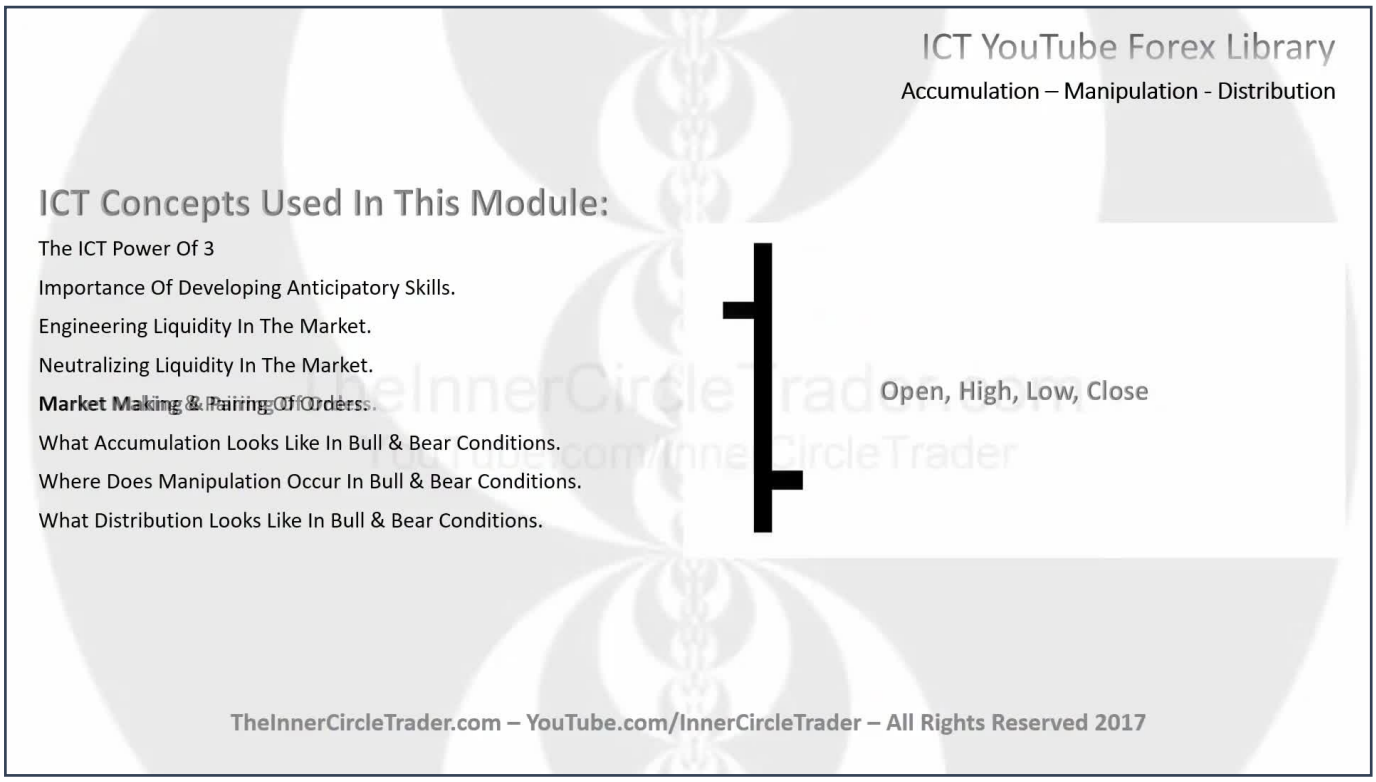
The other form of manipulation that takes place when it's bullish is neutralizing long liquidity. That means there's individuals that's probably already long or just recently bought near the opening price, and the drop down below the opening price will upset their long position. In other words, it'll just run their stop, not to engineer them into a new lower entry, but to knock them out of an initially well-placed position. So we're seeing two conditions happening at the same time: the opening price and below it, when we're bullish, is knocking individuals out that would otherwise be profitable if the market rallies. And it's also inducing or engineering a short-term sentiment shift to bearishness by running short-term lows. Not only would we take out long holders with their sell stops, but traders that want to sell short on a stop, they would be in, they would be placed in on the market on the wrong side and would be selling short in an otherwise bullish market.



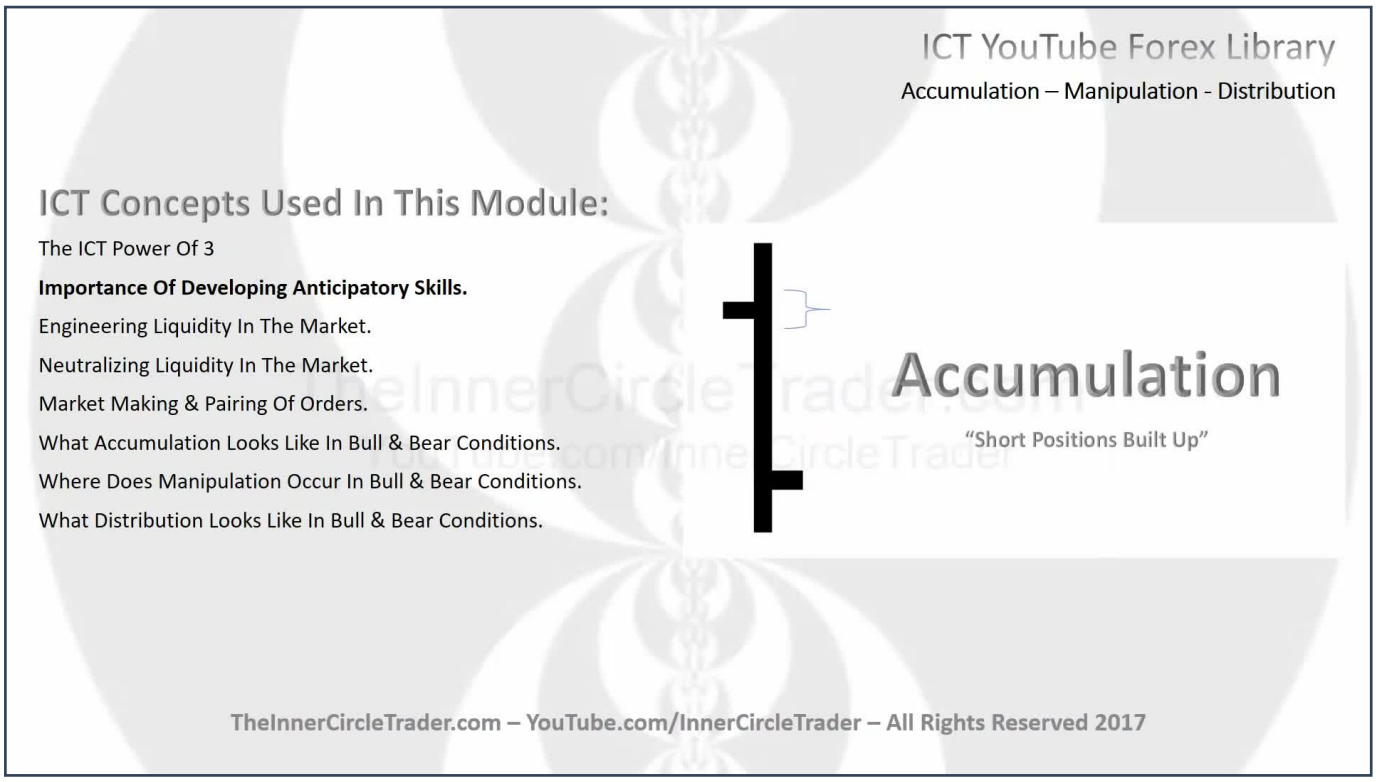
Finally, as we interpret this, the manipulation is where we're looking at how the market makers pair orders. By pairing these sell stops with smart money buying interest, we can see the manipulation cycle as it really is: a run below the opening to accumulate long positions before the big up move.



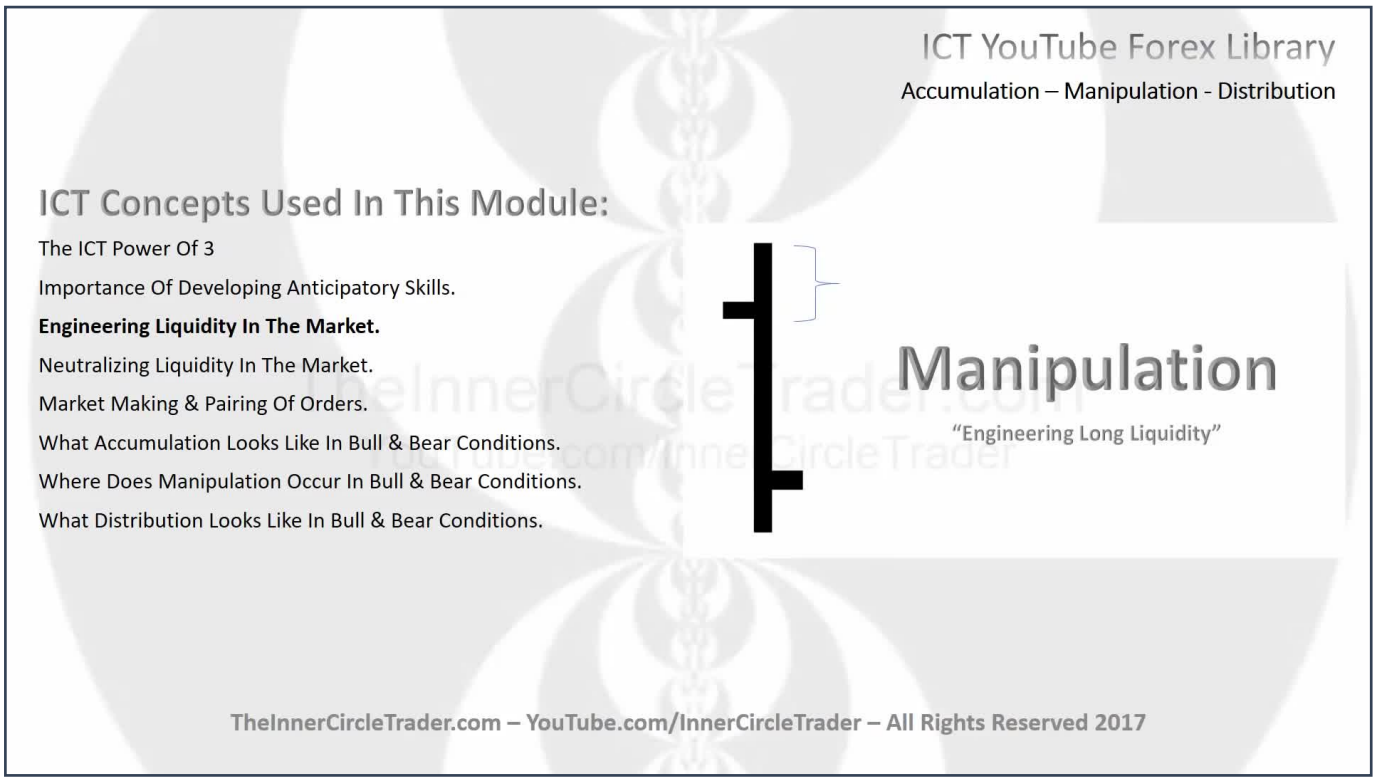
Finally, the distribution cycle is where smart money pairs its long exits (selling out of their longs) with pending buy interest. Now that pending buy interest is going to be in the form of buying above an old high. That would be a breakout artist's idea; they're gonna want to break out above a previous high, and they would view that as strength, buying strength. While smart money will look to sell their long position to those breakout artists that want to buy above an old high, or those individuals that would probably try to sell short intraday, maybe have a buy stop above an intraday high. Smart money would look to run through that intraday high and sell it to those buy stops, so their long exits would be paired with a short-term intraday swing high. If we've seen a nice little retracement lower intraday before the close, that's where an area of distribution would come in.



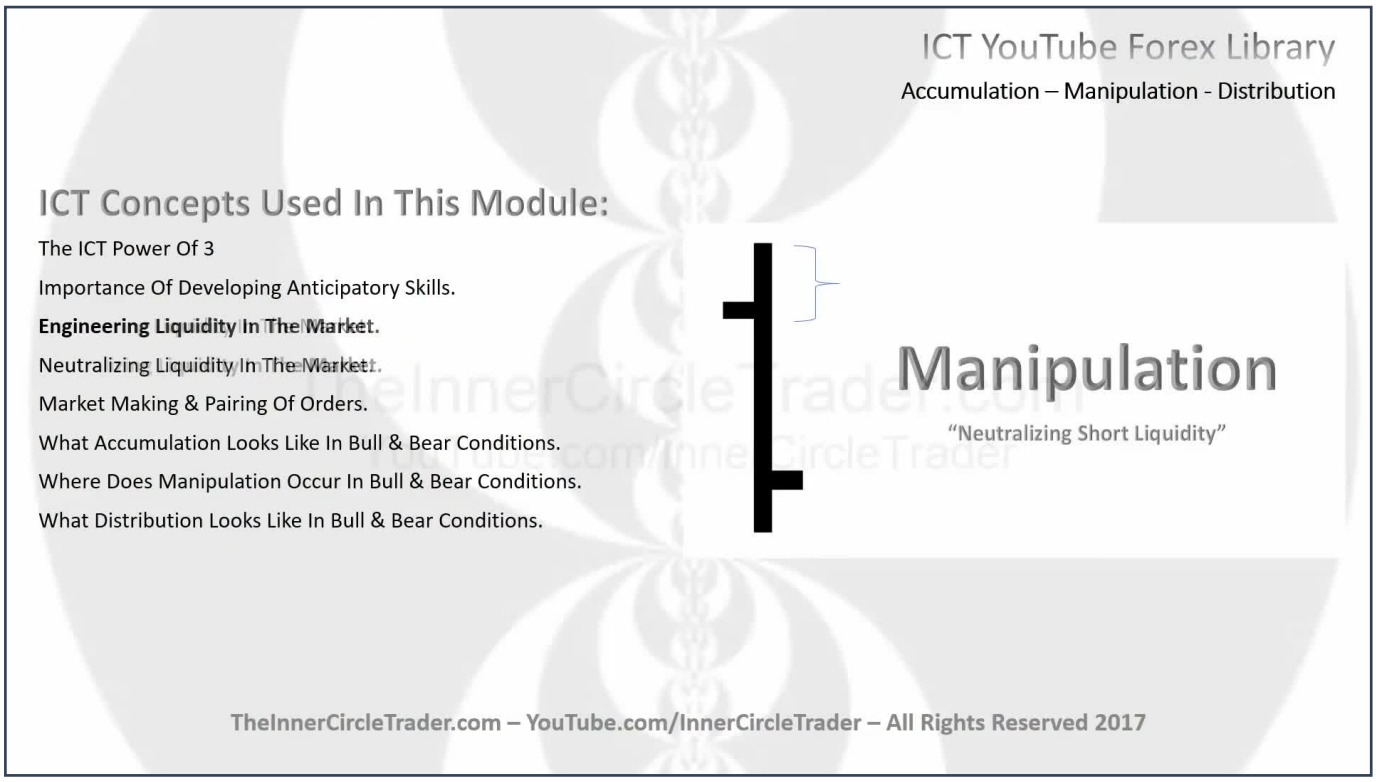
We're looking at a reverse idea here: the Open High Low Close with a down close. Again, this representation is a crude depiction of a daily Open High Low Close bar, and we could see that same thing in the form of a bearish closed candle, much easier on the eye. But we're gonna take our focus back to the Open High Low Close bar, and again, the opening price, much like we just said, but just for completeness sake, it is the initial value price prior to any imbalance. The closing price is the ending value price of that time interval that you're measuring; in other words, what timeframe you're looking at. If it's daily, it's the ending value for the daily range post or after the price imbalance in regards to the movement it took place between the open and where it's now closing. And we have the range expansion cycle that is basically dynamic price imbalance. So between the opening price and the closing price, when we're bearish, this is what we would be expecting or anticipating in price to become a lower close.



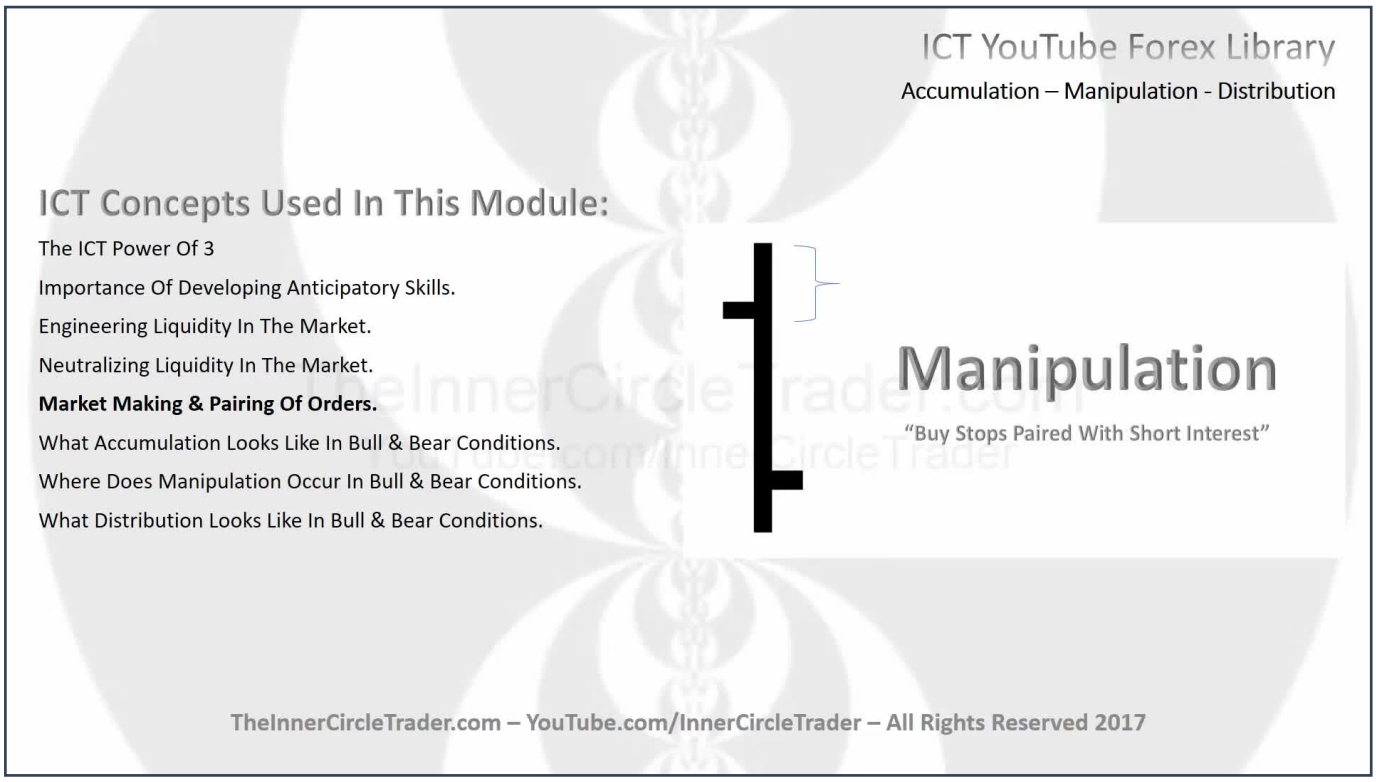
Now, in the form of Power of Three, what is accumulating? Well, from the opening, when we're bearish, short positions are building up. And who's building up short positions? Smart money at the open price or just above the opening price.



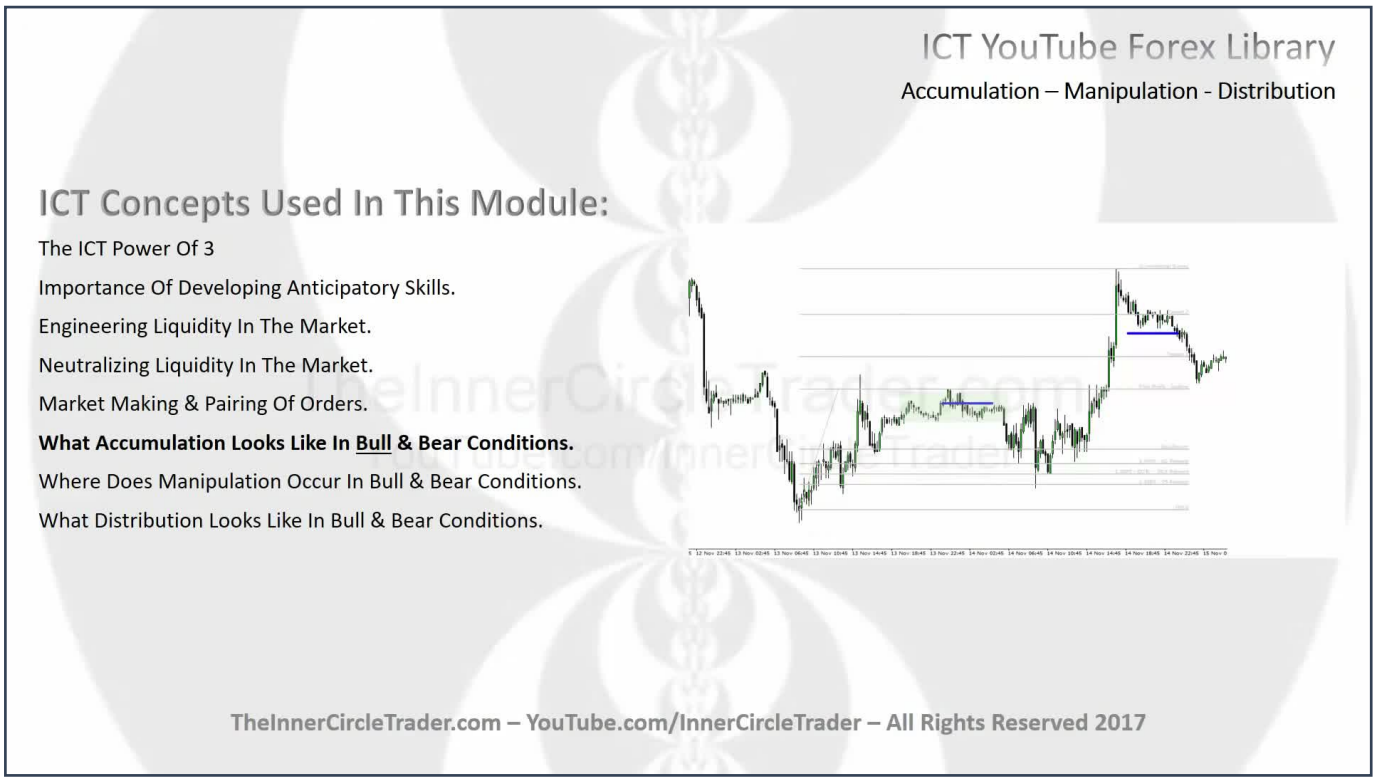
When we're bearish, we would be anticipating manipulation, and what form of manipulation will we expect to see? Engineering long liquidity. In other words, we're looking for a quick sudden movement higher to entice breakout artists that want to buy, want to break out, and they would be placed in on the wrong side of the marketplace.



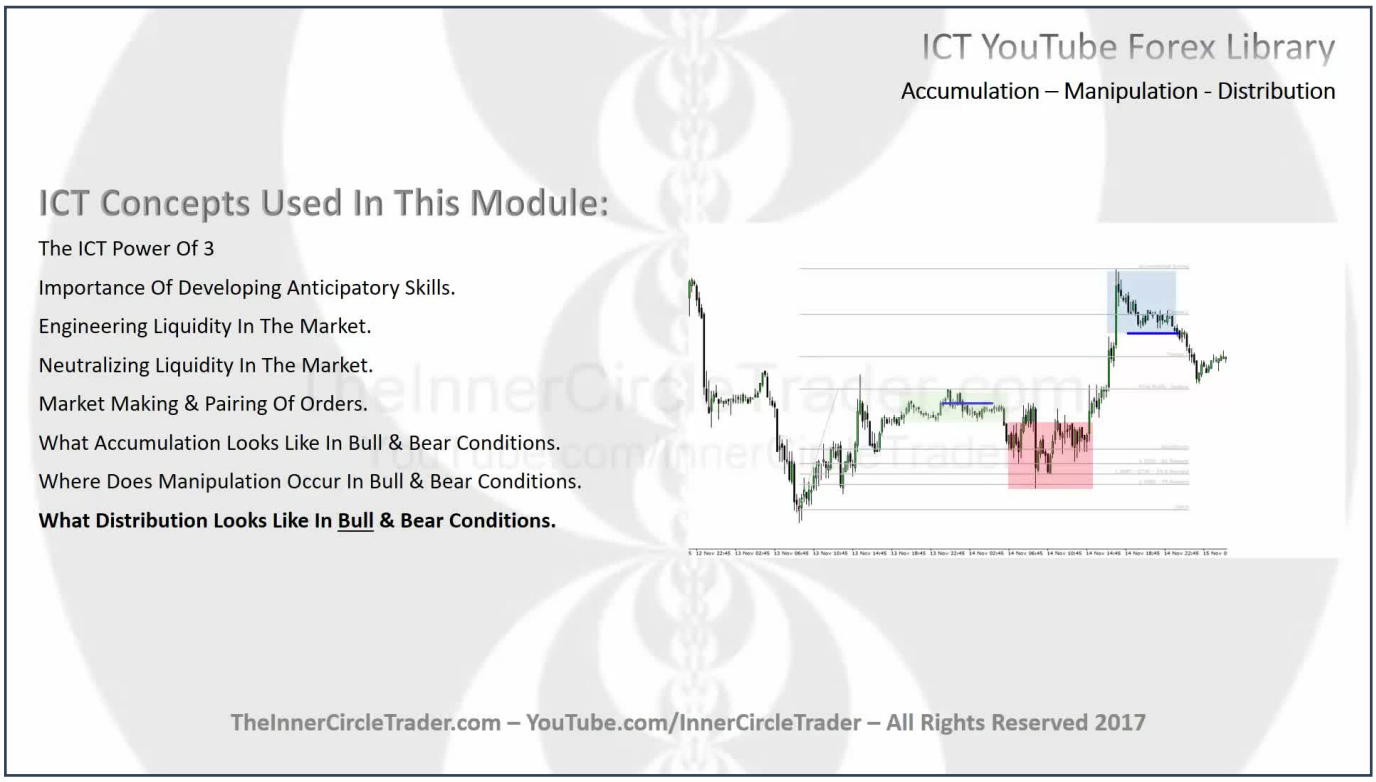
Another form of manipulation, this would be neutralizing short liquidity. In other words, those individuals that would already be short in the marketplace that would otherwise profit from the future coming decline, they are knocked out by having their buy stops tripped. So they're neutralized in their short position. And their short position being neutralized is a buy stop, so that buy stop that hits the market as a market order, smart money will sell to their willing buy stop somewhere. So if the market trades up to your buy stop, that buy stop becomes a market order to buy at the market. Smart money will be counterparty to that, they will sell to those buy stops, but their sell position is to ride it lower and make money.



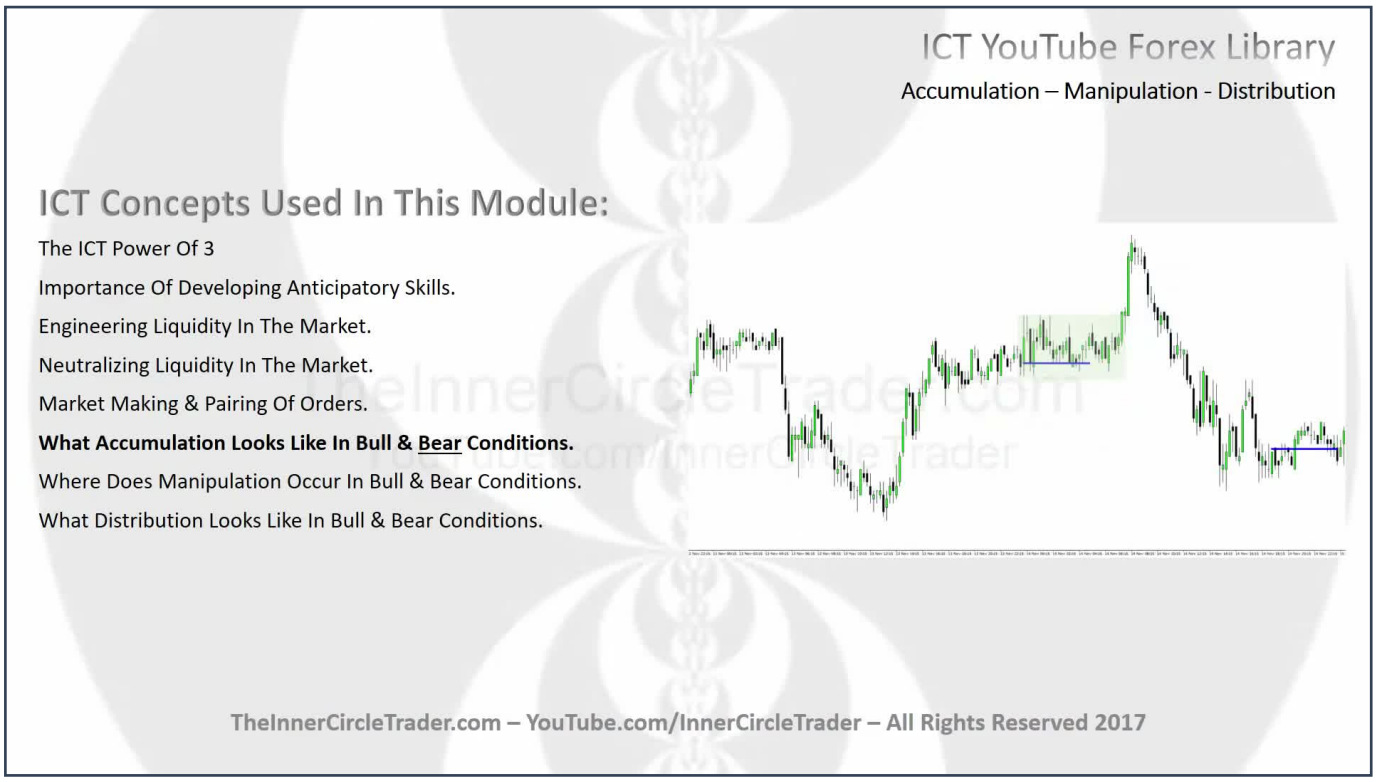
Manipulation in its true sense is in this form when we're bearish at the opening price or above it: buy stops are being paired with short interest in the form of smart money. Finally, at the end of the day, the distribution cycle is seen where smart money pairs its short exits, or covering, with pending sell interest. In other words, smart money's going to be short and getting out of short positions, they have to buy it back, and they will be targeting some old low. What would be resting below an old low? Sell stops. Those sell stops, once they're triggered, they become market orders to sell to the marketplace, which floods the market with sellers. And the best time to cover a short is when there's a flood of sellers in the marketplace willing to sell at a low price, and this would be the distribution cycle of the daily range.



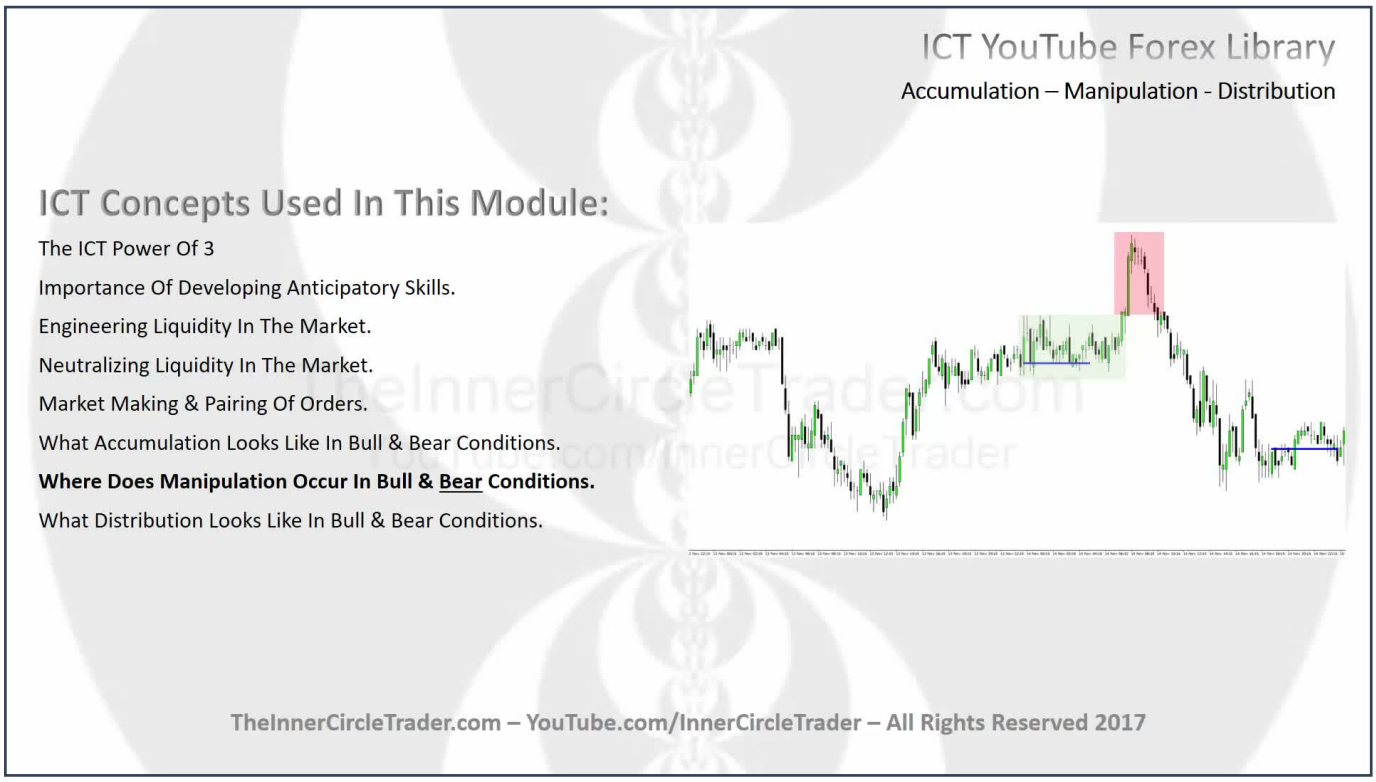
What does accumulation look like in a full condition or when it's bullish? It's not important we zoom in here and see any of the details, I just wanted you to see the overall characteristics. In the green shaded area, you can see that there's a consolidation around the opening price, and that consolidation leads way to a decline, which gives us the framework for what does this manipulation look like in a bull condition. Well, this is what manipulation looks like right before the market starts to trade higher after a consolidation when the accumulation of longs are being made. The problem is you see that decline below that green shaded area as weakness, and who would be wanting to buy ahead of that? Smart Money traders. They have very deep pockets, and the market has a tendency of creating this fake move. We're in choices or induces the opposite mindset or sentiment. This drop down out of that consolidation when we're overall bullish is manipulation. It's knocking out short-term lows, so anyone that's long are knocked out, so they can't for the profit from the up move, and it's also putting traders in on a breakout short, and they're gonna be on the wrong side of the marketplace.



And finally, at the highs of the day, we have our distribution where the smart money exits their long positions by selling above an old high whereby stops would be resting. So there's buy stops would be hit, floods the market with buy stops, buyers at a higher price. Smart money's going to sell their long positions to higher buying interest traders in the form of their buy stops being tagged.



What does accumulation look like in a bear condition? We have a consolidation and price moves higher, which would be the manipulation. Now if you look at the left side of the chart, you see a double top. That's exactly where buy stops would resign. Lesser informed traders would have their buy stops resting above that. They would view that as a stiff resistance price point, and those levels are too clean. The market will in fact want to go through their probe it for buy stops. Those buy stops are going to trigger anyone that's short is now allowed to be profitable in the move going lower. So they're neutralizing their shorts by hitting their buy stops. Also, breakout artists that see that equal high to the left of the chart and the consolidation, that move out of that they would be buying that on a break or trying to buy strength in their eyes. Both are incorrect. And what we're actually seeing is a market driving higher to pair traders to buy higher or at a high price, and short sellers on the smart money camp, they're going to be selling short to those individuals that want to buy at a high price to make a profit as the market moves eventually lower.



Towards the end of the day, we see the distribution cycle come in. We're short holders in the smart money camp, we're going to be looking to collapse their short positions. To have a short position, you have to buy it back. You have to look for an area to run below old lows. You look at the original consolidation 20 pips below that, that's what we see the low of the day form. It's exactly where smart money would be collapsing their short positions for a day trade, and we see the ending cycle, their distribution, smart money collapsing their short in a form of buying it back at an area where sellers below the market would be interested in selling.

Overall, if you understand this concept, and there's lots more of information that's coming by way of my tutorials, you can look at the marketplace like this and see the original consolidation here in the green. Market reaches down below the consolidation into an area of liquidity which is 10 pips below equal lows. There sell stops are triggered where smart money would be buying. Once those sell stops are tripped, they're buying below the day, the market rallies up, we have an expansion move or range expansion up into a move of running 20 pips above the old high and your distribution cycle goes into the marketplace. And there's a complete daily range using the Power of Three concept that I've outlined here. Hopefully you found this teaching insightful, there'll be more built on this with the future tutorials and until next time, I wish you good luck and good trading.